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What's News

Business & Finance

- ◆ **Trump told aides he is considering firing Lisa Cook, a Biden-appointed Fed governor, if she doesn't resign after one of his housing officials accused her of mortgage fraud. A1**
- ◆ **The central bank's decision to hold interest rates steady last month was broadly supported despite two officials who dissented in favor of a cut, minutes show. A2**
- ◆ **A tech selloff extended into a second day, helping to drive down the S&P 500 and Nasdaq by 0.2% and 0.7%, respectively, while the Dow edged up less than 0.1%. B11**
- ◆ **Shares of Target fell 6.3% after the retailer tapped insider Michael Fiddelke to press on with its turnaround effort as the company's next chief executive. A1**
- ◆ **Meta Platforms froze hiring in its artificial-intelligence division after spending months scooping up 50-plus AI researchers and engineers. B1**
- ◆ **Lowe's posted second-quarter sales growth, raised its full-year revenue outlook and agreed to acquire a building-materials company for \$8.8 billion. B1**
- ◆ **McDonald's will cut the cost of its combo offerings after consumers objected to the price of Big Mac meals that climbed to \$18 in some places. B1**
- ◆ **Guess agreed to be taken private by Authentic Brands in an all-cash transaction that values the clothing retailer at roughly \$1.4 billion. B1**
- ◆ **Estée Lauder's loss widened in its fiscal fourth quarter as sales continued to struggle, and it issued a dismal full-year outlook. B3**

World-Wide

- ◆ **Russia said that it should effectively hold veto power over any action to assist Ukraine after a peace deal is reached, rendering planned Western security guarantees for Kyiv moot and setting back negotiations championed by Trump. A1**
- ◆ **A federal judge denied the Justice Department's request to unseal grand jury materials from its case against Jeffrey Epstein. A4**
- ◆ **North Korea has a heavily fortified, covert military base that could house its newest long-range ballistic missiles, which are potentially capable of striking the U.S. mainland, a new report says. A16**
- ◆ **The vice president and two other top Trump administration officials were interrupted by protesters during a photo opportunity with National Guard troops deployed to Washington, D.C. A4**
- ◆ **Texas Republicans took the first step toward approving new congressional maps that would give their party as many as five new seats in the House of Representatives. A2**
- ◆ **Trump ordered the Pentagon to send three Navy warships to interdict drug cartels off South America, intensifying a U.S. confrontation with Venezuela's Maduro. A16**
- ◆ **Bill Ackman has taken up the cause of Alpha School, a private school that embraces artificial intelligence and shuns classroom engagement with divisive social issues. A3**
- ◆ **North Carolina's Outer Banks braced for flooding from a storm surge and powerful winds as Hurricane Erin churned in the Atlantic. A3**

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Israel to Call Up 60,000 Reservists for Gaza Move



PLOWING AHEAD: An Israeli tank travels near the Israeli-Gaza border on Wednesday. The military said it is activating reservists as it prepares to take over Gaza City, where hundreds of thousands of Palestinians are believed to be sheltering. A6

Russia Resists Kyiv Security Plan

By YAROSLAV TROFIMOV AND GEORGI KANTCHEV

Russia warned on Wednesday that it should effectively hold veto power over any action to assist Ukraine after a peace deal is reached, rendering planned Western security guarantees for Kyiv moot and delivering a setback to negotiations championed by President Trump.

Foreign Minister Sergei Lavrov of Russia also played down the likelihood of a summit between the leaders of Russia and Ukraine occurring soon.

The White House had said President Vladimir Putin of Russia agreed to an imminent summit, but Lavrov said the Kremlin merely accepted to raise the level of its representation at talks with Ukraine.

Lavrov's insistence that Russia must have a say in how any security guarantees for Ukraine would be enacted contradicted the Trump administration's assertion that Putin agreed to European and U.S. security guarantees at the Alaska summit on Friday.

Lavrov's remarks were a potent sign that Moscow's maxi-

malist demands in the war haven't shifted despite a surge in diplomatic engagement in recent days. Western security assurances to deter against future Russian invasions are key to getting Ukraine to sign on to a peace deal.

"President Trump and his national-security team continue to engage with Russian and Ukrainian officials towards a bilateral meeting to stop the killing and end the war," a White House official said, adding, "It is not in the national interest to further negotiate these issues publicly."

Lavrov, one of the two top Russian officials who participated in the Alaska talks alongside Putin last week, said any agreement on security guarantees should be based on the Russian proposal during the failed March 2022 peace talks between Russia and Ukraine.

According to that proposal, which Lavrov erroneously described as approved by Kyiv at the time, Russia would have veto power over any action by

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◆ **Leaders learn to speak Trump's language.....** A6

Trump Weighs Firing A Fed Governor

President calls for official to quit after fraud claim; she says she won't be bullied

By MATT GROSSMAN AND BRIAN SCHWARTZ

President Trump told aides he is considering firing Lisa Cook, a Biden-appointed Federal Reserve governor, if she doesn't resign after one of his housing officials accused her of mortgage fraud, according to a senior White House official and another person familiar with the matter.

Bill Pulte, the leader of the Federal Housing Finance Agency, alleged on social media Wednesday morning that Cook submitted what he called fraudulent information on a pair of mortgage applications.

Trump wrote in a social-media post in response to Pulte's claims that "Cook must resign, now!!!" If Cook doesn't resign, Trump is discussing how to fire her for cause, the White House official and person familiar with the matter said.

Cook said late Wednesday she learned from the media that Pulte was making a criminal referral based on a mortgage application from four years ago, before she joined the Fed.

"I have no intention of being bullied to step down from my position because of some questions raised in a tweet. I do intend to take any questions about my financial history seriously as a member of the Fed."

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◆ **Fed minutes show support for July rate hold.....** A2

◆ **What is mortgage occupancy fraud?.....** A2

INSIDE



PERSONAL JOURNAL
Luxury lounges at airports battle it out for frequent fliers' loyalty. A8



BUSINESS & FINANCE
How Pop Mart taps the 'happiness market' in selling the vibe of Labubu dolls. B1

Scotts Miracle-Gro Prunes Pot-Growing Product Line

Supplying legal cannabis growers once looked like genius

By DEAN SEAL

A little more than a decade ago, Jim Hagedorn, the chief executive of Scotts Miracle-Gro, made a risky bet on a new line of business, hoping to reignite growth at his century-old lawn-and-garden company.

About the only thing Hagedorn knew for sure about the venture was that he had to keep Scotts out of the name. He and his son, Chris Hagedorn, whom he tapped to run the new division, didn't want to scare off investors, bankers or customers by signaling too loudly that the American icon of lawn fertilizer and potting mix was branching out to cannabis growers.

Wall Street had little appetite for any-

thing with a whiff of pot at the time, and cannabis growers largely felt the same way about associating with a corporate brand such as Scotts. Just the mention of cannabis from Jim in a 2011 interview with The Wall Street Journal prompted an outcry from board members. So the Hagedorns translated their surname from German to English and called the new subsidiary Hawthorne Gardening Company.

"We didn't want to really go out of our way to mislead our consumers about who we were; Hawthorne always belonged to Scotts," Chris Hagedorn said. "But if you're not going to put the effort in to look below that layer, that was fine with us too."

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9 Beers and 9 Hot Dogs in 9 Innings? Challenge Accepted.

A gut-busting race against the clock has taken off among baseball fans. I tried it.

By XAVIER MARTINEZ

I leaned back in my nose-bleed seat, seven empty cans of Coors Light littered around me and eight hot dogs marinating in my stomach. I tried to remember how I ended up in this place, so sick and yet so determined to keep going.

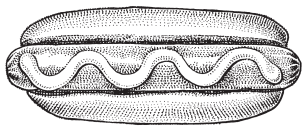
I'm not a big drinker, nor can I remember ever craving a hot dog. Oh right, I was attempting the "9-9-9."

Now a ballpark tradition, the challenge entails eating nine hot dogs and drinking nine beers in the course of a

baseball game. I had found a group of friends who planned to take it on during a game between the New York Mets and Atlanta Braves, and asked if I could tag along. Against the advice of every cardiologist ever, I decided to try it myself.

Joining me in attempting the challenge were Tim Daigle, a 29-year-old software engineer, William Lee, a 38-year-old immigration analyst, and Sharron Lin, a 31-year-old writer. If things went wrong, we could share the janitorial duties.

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Crowding the plate

Investors Doubt a Lifelong Insider At Target Can Shepherd Turnaround

By SARAH NASSAUER

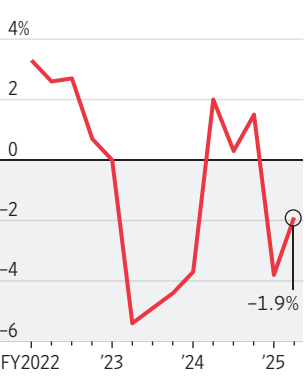
Target thinks a lifelong employee can lift the company out of its funk. Investors aren't buying it.

Shares of Target fell 6.3% Wednesday after the company said its chief operating officer, Michael Fiddelke, would become Target's new chief executive officer in February. He succeeds Brian Cornell, who has held the top job for 11 years. Cornell will become executive chairman of the board, the company said.

Target's stock had risen slightly in recent months, as investors hoped that the retailer's turnaround plans and sales results could bring a stock surge. They didn't.

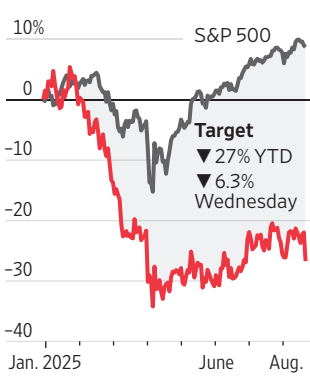
"Mr. Fiddelke was the most likely internal candidate," said Zhihan Ma, a retail analyst at Bernstein. "However, it is

Comparable-store sales, change from a year earlier



Note: Latest quarter ended Aug. 2

Share-price and index performance, year to date



Sources: the company (sales); FactSet (performance)

likely hard for the market to get behind a turnaround led by a long tenured insider."

Fiddelke will take over a company that is in a prolonged sales slump, losing out to such rivals as Walmart and Amazon.com. Among shop-

pers' complaints: Target's prices seem too high, its products aren't as exciting as they once were, and its stores are messy and understocked.

Target also angered shoppers because of a controversy

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